

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 10
JUDICIAL OFFICER: JULIA CAMPINS
HEARING DATE: 09/17/2026

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties email or call the department rendering the decision to request argument and to specify the issues to be argued. Calling counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of their decision to appear and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (*Local Rule 3.43(2).*)

Note: In order to minimize the risk of miscommunication, parties are to provide an **EMAIL NOTIFICATION TO THE DEPARTMENT OF THE REQUEST TO ARGUE AND SPECIFICATION OF ISSUES TO BE ARGUED**. Dept. 10's email address is: dept10@contracosta.courts.ca.gov. Warning: this email address is not to be used for any communication with the department except as expressly and specifically authorized by the court. Any emails received in contravention of this order will be disregarded by the court and may subject the offending party to sanctions.

Submission of Orders After Hearing in Department 10 Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Courtroom Clerk's Calendar

1. 9:00 AM CASE NUMBER: C23-02881
CASE NAME: RICARDO BARAJAS, JR. VS. LINDA LAWHORN
SETTLEMENT CONFERENCE WITH SETTLEMENT MENTOR (IN PERSON)
FILED BY:
TENTATIVE RULING:

Parties to participate in settlement conference as ordered.

2. 9:00 AM CASE NUMBER: C24-02997
CASE NAME: KARTA ATEHORTUA-KHALSA VS. PATRICIA GUZMAN
SETTLEMENT CONFERENCE WITH SETTLEMENT MENTOR
FILED BY:
TENTATIVE RULING:

Parties to participate in settlement conference as ordered.

3. 9:00 AM CASE NUMBER: C26-00948
CASE NAME: ABRAHIM YASEEN HOMRAN VS. SN SERVICING CORPORATION
***FURTHER CASE MANAGEMENT CONFERENCE**

FILED BY:

TENTATIVE RULING:

If either party challenges the tentative ruling, the CMC will proceed. If neither party challenges the tentative ruling, the CMC is continued to ____, at 8:30 am in Department 10.

4. 9:00 AM CASE NUMBER: C26-01184
CASE NAME: NAVEEN AUJLA VS. DOES 1-50, INCLUSIVE
HEARING ON ORDER TO SHOW CAUSE IN RE: WHY A PRELIMINARY INJUNCTION SHOULD NOT BE ISSUED ENJOINING DEFENDANT OR ITS AGENTS FROM RECORDING A TRUSTEE'S DEED UPON SALE
FILED BY:

TENTATIVE RULING:

Despite continuances and a recently filed Answer, Defendant has failed to respond to the Court's Order to Show Cause as to Why a Preliminary Injunction Should Not Be Issued Enjoining Defendant or its Agents from Recording a Trustee's Deed Upon Sale for the property located at 6246 Massara St., Danville, CA 94506. The Preliminary Injunction shall therefore issue.

5. 9:00 AM CASE NUMBER: C26-01184
CASE NAME: NAVEEN AUJLA VS. DOES 1-50, INCLUSIVE
HEARING ON ORDER TO SHOW CAUSE IN RE: DEFENDANT'S COUNSEL JASON SCOTT FAILURE TO APPEAR ON AUGUST 19, 2026

FILED BY:

TENTATIVE RULING:

On the basis of the Declaration of W. Jason Scott dated September 3, 2026, this OSC is discharged.

6. 9:00 AM CASE NUMBER: MSC21-00624
CASE NAME: COLEMAN VS YDESIGN GROUP, LLC
HEARING IN RE: COMPLIANCE

FILED BY:

TENTATIVE RULING:

The Court has reviewed the declaration of Nicole Bench and authorizes the release of the final 5% of the funds.

7. 9:00 AM CASE NUMBER: MSC21-01948
CASE NAME: KATZ VS. ESKATON PROPERTIES
SETTLEMENT CONFERENCE WITH SETTLEMENT MENTOR

FILED BY:

TENTATIVE RULING:

Parties to participate in settlement conference as ordered.

Law & Motion

8. 9:00 AM CASE NUMBER: C24-00664

CASE NAME: COUNG CHAU VS. RONALD FONG

***HEARING ON MOTION IN RE: LEAVE TO FILE FIRST AMENDED CROSS-COMPLAINT**

FILED BY: FONG, RONALD A

TENTATIVE RULING:

Before the Court is Defendants and Cross-Complainants Ronald A. Fong and Tyler Fong individually and dba Next Level Motors, Inc. (collectively, "Cross-Complainants")'s motion for leave to file a first amended cross-complaint. The Motion is opposed by Plaintiff and Cross-Defendant Cuong Vi Chau and Bill Truong (collectively, "Cross-Defendants").

Cross-Defendants seek to amend their Cross-Complaint to include additional allegations, update the damage calculations, and convert the first cause of action from breach of an oral contract to breach of an implied contract.

For the following reasons, the motion is **granted**.

Cross-Defendants are ordered to separately file the First Amended Cross Complaint with the Court by September 21, 2026.

Legal Standard

The court may, in its discretion, in the furtherance of justice "allow, upon any terms as may be just, an amendment to any pleading or proceeding[.]" (Code Civ. Proc., § 473(a)(1); see also Code Civ. Proc. § 576 [stating that "[a]ny judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading"].) The court's discretion should be "exercised liberally in favor of amendments, for judicial policy favors resolution of all disputed matters in the same lawsuit." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1047.) It is "an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment," even if the amendment was the result of an unreasonably delayed filing. (*Id.* at 1048.)

Under California Rules of Court Rule 3.1324(a), a motion to amend a pleading shall (1) include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located.

Under California Rule of Court Rule 3.1324(b), a separate declaration must accompany the motion and

must specify (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier.

Analysis

Rule 3.1324(b)

As a threshold issue, Cross-Defendants argue that Cross-Complainant's supporting declaration does not satisfy the requirements of California Rule of Court 3.1324(b). Specifically, that the declaration does not state when the facts giving rise to the amended allegations were discovered and why the amendment was not requested earlier with respect to the issues of contract formation that were originally pleaded.

The Court has reviewed the Supplemental Declaration of Lubna Jahangiri and finds that it substantially meets the requirements of California Rule of Court 3.1324(b). The Court declines to deny the motion on this ground.

Contradictory Allegations

Plaintiffs argue that the Court should deny the proposed amendment "because it is intended to contradict clear admissions previously made in the Defendants/Cross-Complainants' own pleadings." (Opp. at 10:1-2.) Plaintiffs argue that several of the proposed revisions, including the change from alleging an oral contract to an implied contract, are wholly inconsistent with prior allegations.

Where the amended complaint omits facts alleged in a prior complaint, or pleads facts inconsistent with a prior complaint, any inconsistency must be explained, otherwise the court will read into the amended complaint such omitted or inconsistent facts. (*Vallejo Development Co. v. Beck Development Co.* (1994) 24 Cal.App.4th 929, 946; *Owens v. Kings Supermarket* (1988) 198 Cal.App.3d 379, 383-384 (*Owens*) [prior self-destructive allegations in an earlier pleading are read into a later pleading, and the allegations inconsistent therewith are treated as sham and disregarded].) "The purpose of the [sham pleading] doctrine is to enable the courts to prevent an abuse of process. [Citation.] The doctrine is not intended to prevent honest complainants from correcting erroneous allegations or to prevent the correction of ambiguous facts." (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 751; see also *Tognazzi v. Wilhelm* (1936) 6 Cal.2d 123, 127.) The effect of earlier admissions can be avoided by including in the subsequent complaint an explanation why the earlier admissions are incorrect. (*Owens*, at p. 384.) Despite concerns about sham pleadings, the Supreme Court has also "made it clear that 'a party should be allowed to correct a pleading by omitting an allegation which, it appears, was made as the result of mistake or inadvertence.'" (*Reichert v. General Ins. Co.* (1968) 68 Cal.2d 822, 836; see also *Hahn*, at p. 751 [amended complaint was not a sham pleading, despite omission of alternate factual allegation contained in previous complaint].) The requirement that the explanation for inconsistency be merely "plausible" is consistent with the standard by which all pleadings are judged: that is, that courts "must assume the truth of the complaint's properly pleaded or implied factual allegations. [Citation.]" (*Schifando v. City of Los Angeles* (2003) 31 Cal.4th 1074, 1081.)

Compare *Deveny v. Entropin* (2006) 139 Cal.App.4th 408 (*Deveny*) with *Owens v. Kings Supermarket*, *supra*, 198 Cal.App.3d 379. In *Owens*, the plaintiff asserted a personal injury claim against defendant market, claiming the market controlled the street where the injury occurred. The market demurred, contending the street was controlled by the city, and plaintiff's amended complaint asserted that the accident occurred on the market's premises. *Owens* held that the subsequent allegation could be disregarded as a sham because plaintiff provided no explanation for the change in factual allegations.

(*Id.* at p. 384.) In *Deveny*, the class plaintiffs asserted the defendant drug company failed to disclose adverse test results. In the original complaint, plaintiffs alleged that “[d]efendants withheld scientific and clinical knowledge that Esterom was not detected in the blood or urine of patients’ and that ‘[w]hen Plaintiffs discovered that Entropin had omitted to disclose material information concerning the absorption of Esterom, Plaintiffs contacted counsel and began an investigation.’” (*Id.* at p. 423.) After the defendant’s motion for summary judgment on statute of limitations grounds based on the existence of publicly available information on its website regarding the outcome of the blood and urine tests, the plaintiffs amended their complaint, alleging that the information on the website, while accurate, “did not provide plaintiffs or other investors with any reason to believe that Esterom was not absorbed or was not effective,” and was thus insufficient to trigger the statute of limitations. (*Id.* at p. 417.) The drug company asserted the sham pleading doctrine, contending the plaintiffs’ change in theory of liability from “you didn’t tell us about the tests,” to “okay, you did tell us about the tests, but you didn’t explain their significance” was an instance of sham pleading. The *Deveny* court noted that plaintiff’s counsel had offered an explanation for the change, namely, that while he had initially been unaware of information that was publicly available, after speaking with experts, he realized the data provided on defendant’s website was simply insufficient to put potential investors on notice of the drug’s problems. Thus, *Deveny* concluded this effort was sufficient to avoid the sham pleading doctrine, stating that “the sham pleading doctrine does not apply because [plaintiff’s counsel] offered a plausible explanation for the amendment, i.e., that he had erred in relying on the failure to disclose the blood and urine data as the basis for the complaint because further discovery and consultation with experts had shown that such data was inconclusive.” (*Id.* at p. 426.)

Here, the Court cannot conclude that the changes in Cross-Defendants’ theory of the case, and the facts supporting it, are necessarily contradictory and therefore governed by the sham pleading rule. Counsel for Cross-Defendant has explained that new facts were discovered during written discovery (Jahangiri Decl. at ¶ 4) and that the “[e]vidence does not support formation of an oral contract.” (*Id.* at ¶ 9.) Furthermore, it does not appear to the Court that the different allegations from the original Cross-Complaint to the Amended Cross-Complaint are an attempt to change the facts, as the plaintiff did in *Owens*. Instead, it appears that Cross-Complainants have refocused their allegations on a different subset of facts. As a consequence, the Court declines to deny the motion on this ground.

Conditions on Amendment

Finally, Cross-Defendants argue that if the Court grants the full amendment, it be conditioned on several terms. This request is not supported by statutory or other authority. The Court declines to condition the grant of this motion on the terms proposed by Cross-Defendants.

9. 9:00 AM CASE NUMBER: C24-01627

CASE NAME: KIMBERLY MENJIVAR VS. GENERAL MOTORS LLC

***HEARING ON MOTION IN RE: AWARD OF ATTORNEYS' FEES, COSTS, AND EXPENSES**

FILED BY: MENJIVAR, KIMBERLY

TENTATIVE RULING:

Before the Court is Plaintiff Kimberly Menjivar’s Motion for Attorneys’ Fees, Costs, and Expenses against Defendant General Motors, LLC. GM opposes the granting of fees and costs.

This is a Song-Beverly Consumer Warranty Act (lemon law) case. The case resolved when Menjivar

accepted GM's Code of Civil Procedure section 998 offer, which left the issue of fees and costs to the Court. Plaintiff seeks \$66,312.35 as fees and \$4,651.50 in costs.

As the prevailing party, pursuant both to Code of Civil Procedure section 998 and the terms of the 998 agreement itself, Menjivar is entitled to reasonable attorney's fees and costs pursuant to motion. Civil Code § 1794(d).

A court assessing a claim for fees under Civil Code section 1794, subdivision (d) is to use the lodestar as the start, to assess the reasonableness of the fee claim. (*Mikhaeilpoor v. BMW of North America* (2020) 48 Cal.App.5th 240, 246-247.) The party claiming fees has the burden of showing that the fees incurred were reasonably necessary to the conduct of the litigation, and reasonable in amount. (*Ibid*; *Levy v. Toyota Motor Sales, U.S.A., Inc.* (1992) 4 Cal.App.4th 807, 816.)

"In challenging attorney fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence. General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice." (*Premier Medical Management Systems, Inc. v. California Ins. Guarantee Assn.* (2008) 163 Cal.App.4th 550, 564.)

With regard to the determination of a reasonable hourly rate, the court may rely on its own knowledge and familiarity with the legal market as well as the experience, skill, and reputation of the attorney requesting fees, the difficulty or complexity of the litigation to which that skill was applied, and declarations from other attorneys regarding prevailing fees in the community and rate determinations in other cases. (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 41.)

On an initial pass, Plaintiff's fees may seem high for a Song-Beverly case that resolved less than 18 months after filing. Indeed, GM's brief makes a valiant attempt to cast this as a boilerplate case with boilerplate actions meriting low fees. Unfortunately for GM, their use of their standard opposition brief missed that there are important differences in this case.

As Menjivar explains, here there were discovery disputes that took considerable effort to resolve. The fact that the matter went to a discovery referee and then elevated from a discovery referee to the court indicates that this was not a typical matter, let alone a typical lemon law matter. GM appears to argue that Menjivar's Motion to Compel was unnecessary, apparently ignoring that the Court granted the entirety of the Motion. These were not "manufactured discovery disputes," and GM has no answer for Plaintiff's statement that the discovery produced was significant to the resolution of the matter. Plaintiff has further demonstrated reasonableness in reducing billing where it was potentially duplicative.

The Court has noticed that in its standard attorney fee oppositions, GM has a habit of characterizing pre-retention communications with potential clients as "the cost of doing business." That characterization is extremely inaccurate. A potential plaintiff and their potential counsel *must* as part of the retention decision, determine that a plaintiff has a valid claim and that the parties are a good fit. In many cases, that all happens before a retainer agreement is signed. That is not "the cost of

doing business,” whatever that phrase is intended to mean in a business where billing is the norm. That is part of attorney work; this statute compensates counsel for reasonable attorney work.

GM also has a habit of making the unsupported statement that Los Angeles attorneys have higher rates than Bay Area attorneys. The Court strongly doubts the accuracy of this statement; in any event it carries no proof. GM has not presented evidence of what *its own* counsel bills for this matter, not to mention what typical Contra Costa rates may be. Plaintiff has presented sufficient evidence to support the rates requested.

Although GM has argued that much of counsel’s work was “templated,” Plaintiff has rebutted that argument in this matter by showing the necessary unique work performed. For each area of purported excessive, duplicative, or unnecessary work, the Court has reviewed the billing entries and arguments related to those entries. The Court appreciates and agrees with the adjustments Menjivar has made on reply, and grants the full amount of fees requested.

GM also objects to the costs request because there was no memorandum of costs. The failure of Menjivar to file a Memorandum of Costs is inconsistent with California Rule of Court 3.1700. Menjivar responds that the section 998 offer specifically anticipated the filing of a motion for costs. (Ex. A ¶ 3 (“[A]ttorney’ fees, expenses and costs that have been reasonably incurred pursuant to California Civil Code § 1794(d) may be determined by the Court via noticed motion.”).) Given this language, the Court finds that the use of a single motion for fees *and* costs is appropriate. The court will grant the full costs requested.

10. 9:00 AM CASE NUMBER: C24-02943

CASE NAME: DANIEL VILLANUEVA VS. MANCINI'S SLEEPWORLD, INC.

***HEARING ON MOTION IN RE: (1) MOTION FOR FINAL APPROVAL OF CLASS ACTION SETTLEMENT AND (2) MOTION FOR ATTORNEYS' FEES, COSTS, AND A CLASS REPRESENTATIVE ENHANCEMENT PAYMENT.**

FILED BY:

TENTATIVE RULING:

Plaintiff Daniel Villanueva moves for final approval of his class action and PAGA settlement with defendant Mancini’s Sleepworld, Inc.. The Court granted preliminary approval on May 21, 2026.

A. Background and Settlement Terms

The original complaint was filed October 31, 2024, raising claims under PAGA and a class action on behalf of non-exempt employees alleging that defendant violated the Labor Code in various ways, primarily focused on the allegation that defendant failed to pay class members for all hours worked.

The settlement would create a gross settlement fund of \$300,000. The class representative payment to plaintiff would be \$10,000. Counsel’s attorney’s fees would be \$100,00 (one-third of the settlement). Litigation costs would not exceed \$20,000. The settlement administrator (Phoenix) would cap its costs at \$6,900. PAGA penalties would be \$80,000, resulting in a payment of \$52,000 to the

LWDA. The fund is non-reversionary.

The proposed settlement would certify a class all current and former non-exempt, hourly-paid or commission-based employees who worked for Defendant in California at any time during the Class Period (December 1, 2022 through May 20, 2024), and who did not sign arbitration agreements with Defendant. The class is estimated at 47 members.¹ The number of PAGA Aggrieved Employees is 271.

The class members will not be required to file a claim. Class members had the opportunity to object or opt out of the settlement. (Class members cannot opt out of the PAGA portion of the settlement.) No class members objected or opted out. The average payment to the class members is \$1,768.09 and the highest is \$5,016.10. The average estimated PAGA payment is \$103.32 and the highest is \$194.87.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Uncashed checks and checks returned as undeliverable would be cancelled and the amounts would be tendered to the State Bar's Greg E. Knoll Justice Gap Fund.

The settlement contains release language covering any claims "that are alleged, or which could have been alleged by reason of, or in connection with, any matter or fact set forth or referred to in the operative Complaint and previously filed Complaints in this Action, during the Class Period." (Agreement, Par. 25, 53.)

Informal discovery was undertaken prior to mediation. The matter settled after extensive arms-length negotiations, with included a mediation session with an experienced mediator.

Counsel also has provided a summary of a quantitative analysis of the case, and how the settlement compares to the potential value of the case, after allowing for various risks and contingencies. Plaintiff avers that the maximum exposure for defendant at trial was \$1,162,272.95. The settlement is a little more than one quarter of that amount.

The LWDA was notified of the settlement.

Since the Court granted preliminary approval, notice was sent to the 47 class members. As stated above, no objections have been received. No requests for exclusion have been received. No notices were returned as undeliverable

Counsel now specifies their litigation costs at \$14,791.59.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement."

Because this matter also proposes to settle PAGA claims, the Court also must consider the

¹ The Settlement Agreement states that there are 49 class members. The Declaration of Kevin Lee on Behalf of the Phoenix Settlement Administrators states that there are 47. The calculations below reflect 47 class members (\$83,100 in the class fund divided by 47). The discrepancy appears unexplained.

criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees, costs, and representative payment

Plaintiffs seek one-third of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.*, at 505.)

Counsel have provided an estimate of their lodestar fee. They estimate that they have expended 248.3 hours to date, at rates of \$625-\$1,050 per hour. This results in a lodestar of \$191,305. Counsel are experienced litigators, with substantial experience in similar actions.

The Court agrees that the lodestar cross check "does not override the trial court's primary determination of the fee as a percentage of the common fund and thus does not impose an absolute maximum or minimum on the potential fee award." (*Lafitte, supra*, 1 Cal.5th at 505.) But the Court has a fiduciary duty to the class, and in some cases that duty requires that the fee be reduced.

A number of issues must be considered here. First, the fees were contingent on prevailing, and accordingly, some adjustment for the risk of loss is appropriate. As to preclusion of other employment, this case does not seem to have taken a considerable amount of time. On the other hand, the fees sought are proportionate. Another consideration is the result obtained. While it is substantially less than the maximum exposure, this case also involves a small class and a relatively small PAGA group. Finally, some of counsel's higher rate billers did bill some of the larger amounts, but counsel also seems to have adequately apportioned the majority of the hours to billers at lower rates.

Given that the entire lodestar amount is almost twice the requested fees, the Court finds no fault.

The Court awards the requested fees of \$100,000.

The litigation costs are reasonable and are approved.

As to the requested representative payment of \$10,000, Mr. Villanueva attests that he participated in the litigation, kept informed about the litigation, and remained ready to participate fully in discovery and, if necessary, trial. He estimates his time spent at between 25 and 35 hours. Based on the criteria for evaluation of such requests set forth in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807 (particularly the size of the award relative to the recovery), the Court approves payments of \$7,500 each. The remainder reverts to the class.

D. Discussion and Conclusion

The moving papers sufficiently establish that the proposed settlement is fair, reasonable, and adequate to justify final approval. The Court needs to clarify the number of class members, although the final number does not affect the Court's determination; rather the Court requires information to be clarified to ensure accuracy.

The motion is granted, with the change in representative payments as indicated. Counsel are directed to prepare an order reflecting this tentative ruling, and the other findings in the previously submitted proposed order and a separate judgment. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented, the date for which should be obtained through consultation with the Department clerk. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

11. 9:00 AM CASE NUMBER: C25-00481
CASE NAME: MAURO OILVA VS. AMERICAN HONDA MOTOR CO., INC.
***HEARING ON MOTION IN RE: ATTORNEY'S FEES**
FILED BY: OILVA, MAURO
TENTATIVE RULING:

Before the Court is Plaintiffs Mauro Oilva and Emerson Oilva's Motion for Attorney's Fees against Defendant American Honda Motor Company, Inc. Honda opposes the granting of fees.

This is a Song-Beverly Consumer Warranty Act (lemon law) case. The case resolved via settlement, which left the issue of fees and costs to the Court. The Court previously resolved the costs issue through the Memorandum of Costs and a Motion to Strike or Tax Costs. Plaintiff now seeks \$18,992.50 as fees.

As the prevailing party, pursuant both to Code of Civil Procedure section 998 and the terms of the 998 agreement itself, Oilva is entitled to reasonable attorney's fees pursuant to motion. Civil Code §

1794(d).

A court assessing a claim for fees under Civil Code section 1794, subdivision (d) is to use the lodestar as the start, to assess the reasonableness of the fee claim. (*Mikhaeilpoor v. BMW of North America* (2020) 48 Cal.App.5th 240, 246-247.) The party claiming fees has the burden of showing that the fees incurred were reasonably necessary to the conduct of the litigation, and reasonable in amount. (*Ibid*; *Levy v. Toyota Motor Sales, U.S.A., Inc.* (1992) 4 Cal.App.4th 807, 816.)

"In challenging attorney fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence. General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice." (*Premier Medical Management Systems, Inc. v. California Ins. Guarantee Assn.* (2008) 163 Cal.App.4th 550, 564.)

With regard to the determination of a reasonable hourly rate, the court may rely on its own knowledge and familiarity with the legal market as well as the experience, skill, and reputation of the attorney requesting fees, the difficulty or complexity of the litigation to which that skill was applied, and declarations from other attorneys regarding prevailing fees in the community and rate determinations in other cases. (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 41.)

The Court first notes a procedural issue not identified by Oilva. Honda submitted an Opposition Memorandum that was 10 pages, but then put significant substance regarding the fee breakdown into the Declaration of Brandon Bell, which was 8 pages. The result is a combined submission that *potentially* exceeds the page limit. The Court will not strike any of the substance both because Oilva did not complain of this issue and because the Court is not certain that the page limit would have been exceeded by putting this substantive information into the memorandum but puts counsel on notice that page limits are not to be subject to creative avoidance.

Honda disputes Oilva's counsel's rates, offering critiques of the support for those rates, but no evidence to support those critiques. Honda does not provide evidence of any reasonable rates, including but not limited to those billed by its own counsel.

The Court agrees with Honda, however, that no multiplier is appropriate here. Plaintiffs have failed to demonstrate that this case required special skill, risk, or loss of opportunity. This was a standard lemon law case and Plaintiffs are adequately compensated by the rates requested.

With respect to the specific objections, the Court has reviewed the disputes in detail. As an initial matter, the Court does *not* fault counsel for the appropriate and careful use of templates. Using prior briefs, research, and discovery documents in a new case is efficient, when used appropriately and tailored to each case. It is the recovery of fees for work not actually done that is the inquiry the Court performs here.

The Court agrees that Oilva's anticipated hours on the Motion for Attorneys' fees is somewhat excessive—indeed so do Plaintiffs as they indicated they spent less time than predicted. Originally,

Kevin Jacobson was billing for a reply brief when Stephanie Hovhannisyan (a lower biller) did the work on the opening brief. On actual Reply, that moved to Derek Chipman, who billed 4.3 hours rather than the 5.3 anticipated. The actual time spent is somewhat more reasonable than anticipated, although still more than required given that Honda's opposition was relatively standard and the Court is aware that much of this work is repeated case-by-case. While counsel must certainly make sure to cite accurate cases, the nature of the briefing suggests that 0.8 to review the brief, 0.7 to review the declaration, 0.6 to research and 2.0 to draft includes overlapping and duplicative work on top of likely previously written work product. The Court would be surprised if preparation for and appearance at the hearing will be 2 hours, especially since the parties may waive hearing. The Court therefore reduces the Reply work, including the hearing, to 4.3 *total* hours, at \$495 per hour, which is \$2,128.50, instead of \$4,000.

Honda also challenges time spent on written discovery requests, noting the templated nature of these requests. Oilva fails to rebut this issue, noting only the quantity of requests. By way of example, it is unimpressive to the Court to note that 0.3 hours were spent on the declaration of necessity, a document that is routinely drafted in almost every single civil case and contains very little new substance. This is indication that counsel has overbilled for templated work. The Court will reduce the hours on written discovery from 3 to 1.5, resulting in a reduction of \$600.

Plaintiffs have adequately supported their need for and work on the deposition subpoena relating to the servicing dealership in this case, and the Court will grant the requested hours.

While Plaintiffs have shown that there was work and back-and-forth on the deposition of Honda's Person Most Qualified, they have failed to show that the hours claimed are reasonable. While Honda attached documents showing that the work did not appear original, Oilva attached no rebuttal to this argument. The Court will reduce Ryan Ardi's hours on this task from 6.2 to 4.9, resulting in a reduction of \$1,027.

Finally, while Honda served duplicative notices on Plaintiffs, that does not mean the work to respond to those was unique or required the time requested. The Court will reduce the hours on this task from 2.3 to 1.1, resulting in a reduction of \$474.

The Court therefore grants attorney's fees in the amount of \$12,021.50.

12. 9:00 AM CASE NUMBER: C25-00518
CASE NAME: MARIO GUATEMALA VS. MUHAMMAD ASHRAF
MOTION TO BE RELIEVED AS COUNSEL RE CALIFORNIA WHEELS & TIRES LLC.
FILED BY: CALIFORNIA WHEELS & TIRES LLC., A CALIFORNIA LIMITED LIABILITY COMPANY
TENTATIVE RULING:

Good cause shown, the Motion to Be Relieved as Counsel is **granted**.

13. 9:00 AM CASE NUMBER: C25-00518
CASE NAME: MARIO GUATEMALA VS. MUHAMMAD ASHRAF
MOTION TO BE RELIEVED AS COUNSEL RE MUHAMMED AZEEM ASLAM
FILED BY: ASLAM, MUHAMMED AZEEM
TENTATIVE RULING:

Good cause shown, the Motion to Be Relieved as Counsel is **granted**.

14. 9:00 AM CASE NUMBER: C25-00518
CASE NAME: MARIO GUATEMALA VS. MUHAMMAD ASHRAF
MOTION TO BE RELIEVED AS COUNSEL RE: CALIFORNIA WHEELS LLC.
FILED BY: CALIFORNIA WHEELS & TIRES LLC., A CALIFORNIA LIMITED LIABILITY COMPANY
TENTATIVE RULING:

Good cause shown, the Motion to Be Relieved as Counsel is **granted**.

15. 9:00 AM CASE NUMBER: C25-00518
CASE NAME: MARIO GUATEMALA VS. MUHAMMAD ASHRAF
MOTION TO BE RELIEVED AS COUNSEL FOR DEF MUHAMMAD AMAD ASHRAF FILED 08/21/26 BY
DEF ATTORNEY
FILED BY: ASHRAF, MUHAMMAD AMAD
TENTATIVE RULING:

Good cause shown, the Motion to Be Relieved as Counsel is **granted**.

16. 9:00 AM CASE NUMBER: C25-00967
CASE NAME: WENDY SOUZA VS. LIVE NATION ENTERTAINMENT, INC.
***HEARING ON MOTION IN RE: STRIKE 1ST AMENDED COMPLAINT**
FILED BY: LIVE NATION ENTERTAINMENT, INC.
TENTATIVE RULING:

By stipulation, this hearing was continued to November 19, 2026.

17. 9:00 AM CASE NUMBER: C25-02229
CASE NAME: PIERCE MALICK VS. EVEN YEAR KIDS, LLC
***HEARING ON MINOR'S COMPROMISE RE: PIERCE MALICK**
FILED BY: MALICK, PIERCE
TENTATIVE RULING:

Judge Campins recused pursuant to Code of Civil Procedures section 170.1(a)(6) on September 9, 2026. The hearing will be reset in a new department.

18. 9:00 AM CASE NUMBER: C25-02999

CASE NAME: 4LEAF, INC., VS. URBAN37 INC.

***HEARING ON MOTION IN RE: TO RECOVER COSTS OF PERSONAL SERVICE**

FILED BY: 4LEAF, INC.,

TENTATIVE RULING:

Before the Court is Plaintiff 4Leaf, Inc.'s Motion to Recover Costs of Service on Defendant Urban37, Inc. 4Leaf claims that, because the agent for service of process for Urban37, Raylee Glasser, evaded service and failed to return a Notice and Acknowledgement of Receipt of the summons and complaint, Urban37 should be responsible for the expenses incurred in serving Urban37 by alternate means.

Code of Civil Procedure 415.30 shifts the "reasonable expenses" of service by other methods *only* if "A copy of the summons and of the complaint [is] mailed (by first-class mail or airmail, postage prepaid) to the person to be served, together with two copies of the notice and acknowledgment provided for in subdivision (b) and a return envelope, postage prepaid, addressed to the sender." It is not the case, as 4Leaf attempts to convince the Court, that simply sending a summons and complaint by mail, and thereafter failing to receive a notice and acknowledgment, shifts all subsequent costs. The mailing must comply with section 415.30(a) and the expenses incurred subsequently must be reasonable. Neither is true here.

First, the evidence is inconclusive as to whether Ms. Glasser ever "evaded" service. Nationwide made three attempts in October 2025, saw between 2 and 3 cars in the driveway, and failed to make contact. Those attempts were at 6:32 on a Friday evening, 9:12 on a Saturday morning, and 1:18 on a Sunday morning. If Ms. Glasser had gone away for a single weekend, she would miss service.

Next, counsel mailed a packet to Ms. Glasser. According to the mailing receipt, the packet weighed 7.20 oz. The mailing receipt is for a single mailing; there is no evidence that counsel purchased stamps for the return envelope she claims was included. The proof of service notes that it contains a summons, complaint, ADR package, Notice of Hearing – Case Management Conference and two copies of a Notice of Acknowledgement of Receipt (sic). (Contrary to counsel's declaration, ¶ 5, the proof of service says nothing about including a "Notice of Assignment to One Judge for All Purposes" or an "Order to Show Cause." It does not state that a prepaid envelope was enclosed. Ms. Glasser declares that she did not receive a prepaid return envelope and indeed does not mention the Notice and Acknowledgment of Receipt, although the McCormack declaration mentions her receipt of this document. Susanna Chenette declares that she did include such an envelope, but she did not perform the mailing (Laura Prongos did) and there is no proof that it was included. Counsel Chenette has no personal knowledge of the inclusion of that envelope, and her declaration has already been noted above to be inconsistent with the Proof of Service. Finally, the summons was also defective, as the bottom section was left blank.

On the back of the single weekend of service attempts and the potentially deficient mailing effort, counsel jumped to an expensive option of a server who would perform investigations. Despite that

investigation showing no new information, Ms. Glasser was successfully served on the third attempt. There is no showing that the expenses were necessary – she was simply personally served as was originally intended.

Plaintiff 4Leaf argues that the Alameda employment case is wholly separate from this case, attempting a sleight of hand by saying that Urban37 is not a party to the Alameda case. This statement is plainly deceptive, as the individual 4Leaf was attempting to serve on behalf of Urban37 in *this* case is plaintiff *against* 4Leaf in the Alameda case. The two cases are plainly related enough that it would not have been unreasonable to reach out to Raylee Glasser’s employment attorney to inquire as to whether he would be representing her in this action. Indeed, as the Declaration of Bryan McCormack demonstrates, at the very same time, these counsel were meeting with respect to a subpoena on Urban37 in the employment matter.

Although 4Leaf has failed to show that its requested costs were reasonable, it is also the case that, upon receipt of the defective mailed service, counsel for Urban37 could have made counsel for 4Leaf aware of his representation in the new action. He never quite explains why *he* did not. In that circumstance, it does seem equitable to shift the *reasonable* cost of additional attempts at service, which would be \$128.75. The Motion is otherwise **denied**.

19. 9:00 AM CASE NUMBER: C26-00393
CASE NAME: ROBERTA JOYCE LOACH VS. EITAN COHEN
***HEARING ON MOTION IN RE: TRIAL PREFERENCE AND TRIAL SETTING**
FILED BY: LOACH, ROBERTA JOYCE
TENTATIVE RULING:

Given the Notice of Settlement, this matter was vacated.

20. 9:00 AM CASE NUMBER: C26-00948
CASE NAME: ABRAHIM YASEEN HOMRAN VS. SN SERVICING CORPORATION
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: SN SERVICING CORPORATION
TENTATIVE RULING:

The demurrer of Defendants SN Servicing Corporation and U.S. Bank Trust National Association as Trustee of LB-Igloo Series VI Trust to the complaint of Plaintiff Abraham Mohamed Yaseen Homran is **sustained without leave to amend** as to the Fifth Cause of Action (Declaratory Relief), and **sustained with leave to amend** as to the First, Second, Third, Fourth, Sixth, Seventh, and Eighth Causes of Action.

Background

Abraham Mohamed Yaseen Homran is the owner and occupant of real property located at 851 Monterey Ct., Brentwood, California, APN 007-440-002-9. In October 2023, Homran obtained a

mortgage loan in the original principal amount of \$936,000 from Paramount Residential Mortgage Group, secured by a Deed of Trust recorded on October 13, 2023. The loan was subsequently assigned to U.S. Bank Trust National Association as Trustee of LB-Igloo Series VI Trust on January 15, 2025, with SN Servicing Corporation acting as the mortgage loan servicer on behalf of U.S. Bank.

On June 27, 2025, Prestige Default Services, LLC, as the substituted trustee, recorded a Notice of Default alleging that Homran had defaulted on his loan obligations as of August 1, 2024, with arrearages totaling \$114,832.59. Rather than proceed immediately to foreclosure, Homran and the defendants entered into a Loan Workout Agreement on September 5, 2025, under which the defendants agreed to postpone foreclosure proceedings in exchange for Homran's agreement to pay the total reinstatement amount of \$136,519.13 through a down payment and three subsequent monthly installments beginning in October 2025. The Agreement expressly provided that "Lender will postpone foreclosure proceedings during the pendency of this Agreement." However, the Agreement also provided that "This Agreement, and the forbearance of foreclosure proceedings, will be terminated immediately upon Borrower default of this Agreement, or any other provision of the Loan Documents, which remain fully enforceable." The Agreement further stated that if Homran defaulted, the Agreement would be voided and "only full payment of the Reinstatement or full payoff of the total amount then due under the Loan will stop the reactivated foreclosure." Homran alleges he paid \$100,000 toward the reinstatement amount, consisting of an \$80,000 wire transfer on September 9, 2025 and a \$20,000 payment on September 25, 2025.

Despite accepting Homran's payments and agreeing to postpone foreclosure, the defendants recorded a Notice of Trustee's Sale on December 16, 2025, setting the foreclosure sale for January 21, 2026, and stating a total indebtedness of \$988,349.79. Homran alleges he did not receive the Notice of Trustee's Sale prior to the scheduled sale date. Homran also alleges he was unable to tender the remaining reinstatement amount at that time due to extraordinary medical expenses incurred on behalf of his mother, though he has since regained financial stability and now possesses both the ability and willingness to tender any lawful reinstatement amount.

The sale proceeded on January 21, 2026, and the Trustee's Deed Upon Sale was recorded on February 17, 2026, as Instrument No. 2026-0015188. The deed recites that U.S. Bank, as Trustee of LB-Igloo Series VI Trust, acquired the Property by credit bid in the amount of \$991,996.75.

Homran filed this action on March 18, 2026, after the January 21, 2026 trustee's sale and the February 17, 2026 recording of the Trustee's Deed Upon Sale. Homran contends that the Defendants' recorded Notice of Trustee's Sale was made in breach of their written agreement to postpone proceedings, that defendants failed to provide him fair notice and opportunity to cure, that Defendants violated California foreclosure statutes, and engaged in fraudulent conduct.

Defendants SN Servicing Corporation and U.S. Bank Trust National Association now demur to each of the eight causes of action in the complaint. They argue plaintiff's own allegations establish he defaulted on the Loan Workout Agreement by failing to make the October, November, and December installment payments after paying \$100,000 in September toward the \$136,519.13 reinstatement amount. The wrongful foreclosure, cancellation of instruments, and quiet title claims fail because plaintiff does not plead that he tendered, a valid excuse from tender, or any significant defect in the sale process. Separately, Defendant argues that the Civil Code section 2923.55 and fraud claims are barred because they rest on pre-September 5, 2025 conduct that was released in the Loan Workout

Agreement. The promissory estoppel and breach of contract claims fail because plaintiff pleads his own nonperformance and does not plead the operative terms of the agreement with sufficient completeness to show breach rather than permitted contractual remedy.

Meet and Confer

CCP section 430.41 requires that before filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (CCP §430.41(a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (CCP §430.41(a)(2).) Thereafter, the demurring party shall file and serve a declaration detailing their meet and confer efforts. (CCP §430.41(a)(3).)

Defendants have complied with meet and confer obligations. Defendants counsel declares that she attempted to meet and confer with Plaintiff's counsel, and Plaintiff's counsel did not respond.

Demurrer Standard

"A demurrer tests the legal sufficiency of the factual allegations in a complaint." (*Yalung v. State* (2023) 98 Cal.App.5th 71, 80.) In reviewing a complaint's legal sufficiency, a court will treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of law. (*Esparza v. Kaweah Delta Dist. Hospital* (2016) 3 Cal.App.5th 547, 552.) It is well settled that a "demurrer lies only for defects appearing on the face of the complaint[.]" (*Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601.) For purposes of ruling on a demurrer, the complaint must be construed liberally by drawing reasonable inferences from the facts pleaded. (*Wilner v. Sunset Life Ins. Co.* (2000) 78 Cal.App.4th 952, 958.)

"Denial of leave to amend constitutes an abuse of discretion unless the complaint shows on its face it is incapable of amendment. [Citation.] Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.)

Analysis

Request for Judicial Notice

Defendants request that the Court take judicial notice, pursuant to Evidence Code sections 452 and 453, of six documents that are matters of public record recorded in the Official Records of Contra Costa County: (1) the Deed of Trust dated October 6, 2023, recorded October 13, 2023 as Instrument No. 2023-0100546; (2) the Assignment of Deed of Trust recorded January 15, 2025 as Instrument No. 2025-0004403; (3) the Substitution of Trustee recorded June 27, 2025 as Instrument No. 2025-0064788; (4) the Notice of Default and Election to Sell Under Deed of Trust recorded June 27, 2025 as Instrument No. 2025-0064789; (5) the Notice of Trustee's Sale recorded December 16, 2025 as Instrument No. 2025-0140164; and (6) the Trustee's Deed Upon Sale recorded February 17, 2026 as Instrument No. 2026-0015188.

Defendants' Request for Judicial Notice is **granted**. (Evid. Code §§ 452 (d) and (h); see also *Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal. App. 4th 256, 264.) The Court does not, however, take judicial notice of the truth of matters stated in the recorded documents. (*Poseidon Development, Inc. v. Woodland Lane Estates, LLC* (2007) 152 Cal. App. 4th 1106, 1117-18.)

First Cause of Action for Wrongful Foreclosure

The first cause of action alleges wrongful foreclosure. The elements of wrongful foreclosure are (1) an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) prejudice or harm to the party attacking the sale; (3) the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering; and (4) the mortgagor or trustor did not breach a condition or fail to perform such that it would have authorized the foreclosure or exercise of the power of sale. (*Majd v. Bank of America, N.A.* (2015) 243 Cal.App.4th 1293, 1306-1307.) "[M]ere technical violations of the foreclosure process will not give rise to a tort claim; the foreclosure must have been entirely unauthorized on the facts of the case." (*Miles v. Deutsche Bank National Trust Co.* (2015) 236 Cal.App.4th 394, 409.)

Defendants argue the claim fails because plaintiff does not plead tender or any valid excuse from tendering, and does not plead any actionable defect in the completed sale itself. Plaintiff alleges he lacked the ability to tender during the relevant period, was unable to pay the remaining reinstatement balance due under the Loan Workout Agreement, and remained uncertain what amount was due. Allegations that plaintiff is now "willing and able" to tender some unspecified amount do not satisfy the tender requirement for setting aside a completed trustee's sale, and plaintiff pleads no recognized exception. Those same allegations also defeat the prejudice element because plaintiff's own pleading attributes the foreclosure to his inability to complete reinstatement, not to actionable misconduct by defendants.

Plaintiff does not argue that there was a defect in the sale process itself, that the trustee lacked authority, or that the sale was conducted improperly. Instead, plaintiff's bases his argument on the tender exception, arguing that because defendants breached the Loan Workout Agreement by foreclosing despite accepting substantial payments and promising to postpone, defendants lacked a contractual basis to exercise the power of sale, and therefore tender is excused.

Plaintiff relies on a line of California cases holding that tender is excused where a borrower alleges an enforceable modification or forbearance agreement, substantial performance under that agreement, and that the lender nonetheless foreclosed. In *Barroso v. Ocwen Loan Servicing, LLC* (2012) 208 Cal.App.4th 1001, the homeowner alleged she had an enforceable loan modification agreement with the beneficiary and that she made all subsequent payments when they were due. (*Barroso*, 208 Cal.App.4th at p. 1017.) The loan servicer accepted the homeowner's payments under the modification agreement but nonetheless proceeded with the foreclosure sale. (*Id.* at pp. 1004–1006.) The court held that because the homeowner performed in accordance with her contractual obligations, the loan servicer had no contractual right to sell the property and therefore the homeowner did not have to tender the full loan amount. (*Id.* at p. 1017.)

In *Chavez v. Indymac Mortgage Services* (2013) 219 Cal.App.4th 1052, the homeowner signed and returned the loan modification agreement and made all required payments "on time by personal check" until the defendants breached by refusing to accept her October payment. (*Chavez*, 219

Cal.App.4th at p. 1056.) The Court of Appeal reversed the trial court's demurrer, holding that the homeowner "sufficiently alleged an exception to the tender rule that the foreclosure sale was void because Defendants lacked a contractual basis to exercise the power of sale as [her] original loan had been modified under the [agreement] and [she] fully performed under the [agreement] until Defendants breached the agreement by refusing payment." (*Id.* at pp. 1062–1063.)

Plaintiff claims his allegations "track *Barroso* and *Chavez* precisely: an enforceable workout agreement, substantial performance, acceptance of funds, and foreclosure notwithstanding." (Opp. p. 4:24-28.) This characterization is inaccurate. In both *Barroso* and *Chavez*, the borrower performed all contractual obligations under loan modification agreements. They did not argue that partial performance satisfied their contractual duties but performed in full until the lender breached. Here, plaintiff admittedly made only two payments in September 2025 totaling \$100,000 toward a \$136,519.13 reinstatement amount, then defaulted in the Loan Workout Agreement's payment schedule by failing to make any of the three required monthly installments of \$28,032.17 each beginning in October 2025.

To establish substantial performance, a plaintiff must prove both that he made a good faith effort to comply with the contract and that the defendant received essentially what the contract called for because the plaintiff's failures were so trivial or unimportant that they could have been easily fixed or paid for. (CACI No. 312.) Plaintiff has not pleaded substantial performance. His complaint alleges he made two payments in September 2025 totaling \$100,000, then failed to make any of the three monthly installment payments of \$18,839.71 each beginning in October 2025. He cannot plead that he made a good faith effort to comply when he admits he "was unable to tender the remaining balance of the reinstatement amount." (Compl. ¶ 20.) Nor can he plead that defendants received essentially what the contract called for when he failed to perform three monthly installments.

Further, the Loan Workout Agreement appears to make strict compliance with the payment schedule essential. The Agreement provides that forbearance "will be terminated immediately upon Borrower default of this ... or any other provision of the Loan Documents, which remain fully enforceable." (Agreement, § 5.) "The law is settled that when it appears from the agreement that the parties have made time of the essence, strict performance is required unless it is excused." (*Donnellan v. Rocks* (1972) 22 Cal.App.3d 925, 929.) Plaintiff's failure to make the October, November, and December installment payments triggered the Agreement's automatic termination clause and gave defendants a contractual right to resume foreclosure. Applying the doctrine of substantial performance would defeat that bargain.

The Court finds that Plaintiff has not adequately alleged an exception to the tender rule based on the argument that Defendants lacked a contractual basis to exercise the power of sale. Thus, the demurrer to the first cause of action is **sustained with leave to amend**.

Second Cause of Action for Promissory Estoppel

As to the second cause of action for promissory estoppel, the demurrer is **sustained without leave to amend**. Plaintiff fails to state sufficient facts to state a cause of action.

"The elements of a promissory estoppel claim are (1) a promise clear and unambiguous in its terms; (2) reliance by the party to whom the promise is made; (3)[the] reliance must be both reasonable and

foreseeable; and (4) the party asserting the estoppel must be injured by his reliance." (*Aceves v. U.S. Bank, N.A.* (2011) 192 Cal.App.4th 218, 225.)

In support of this cause of action, Plaintiff alleges that "Defendants represented that foreclosure would be placed on hold upon receipt of executed repayment documentation and a \$100,000.00 payment." (Compl. ¶ 32.) Plaintiff fails to allege a clear and unambiguous promise. He does not identify which representative made the statement, on what date, or in what specific language. More critically, Plaintiff fails to allege that defendants promised an indefinite postponement of foreclosure. Instead, the written Loan Workout Agreement Plaintiff executed on September 5, 2025 expressly provides that forbearance is conditioned on the pendency of the Agreement and "will be terminated immediately upon Borrower default of this Agreement, or any other provision of the Loan Documents." (Agreement, § 5.) It is difficult to understand how Plaintiff can allege an oral promise of unlimited forbearance when the written agreement he signed clearly defines the scope and duration of the postponement. The promise alleged is vague and seemingly, fundamentally at odds with the written terms Plaintiff accepted.

Third Cause of Action for Breach of Contract

Plaintiff alleges two separate breach of contract theories. First, he alleges defendants breached the Loan Workout Agreement by continuing foreclosure proceedings and recording a Notice of Trustee's Sale despite agreeing to postpone foreclosure during the pendency of the Agreement. (Compl. ¶ 37.) Second, he alleges defendants breached the original Deed of Trust by failing to provide accurate reinstatement figures, failing to properly credit payments, and initiating foreclosure despite plaintiff's ability and efforts to cure. (Compl. ¶¶ 38-41.) Plaintiff contends the Deed of Trust requires notice of any loan servicer change. (Compl. ¶ 39.)

The elements of a breach of contract claim are: (1) a contract; (2) plaintiff's performance of the contract (or excuse for nonperformance); (3) defendant's breach; and (4) resulting damage to the plaintiff. (*Reichert v. General Ins. Co.* (1968) 68 Cal.2d 822, 830.)

As to the Loan Workout Agreement, plaintiff fails to allege performance or a valid excuse for nonperformance. Although the complaint alleges in a conclusory fashion that plaintiff "performed all conditions, covenants, and promises required on his part," his specific factual allegations establish the opposite. He admits he lacked the ability to tender during the hardship period and was unable to pay the remaining reinstatement balance. (Compl. ¶¶ 16, 20, 42.) He made only two payments in September totaling \$100,000, then failed to make any of the three required monthly installment payments of \$18,839.71 each beginning in October 2025. Specific factual allegations control over contrary conclusions.

As to the Deed of Trust theory, plaintiff fails to allege resulting damages. He alleges defendants failed to provide notice of the loan servicer change and failed to provide accurate reinstatement figures, but alleges no damages flowing from these breaches. Plaintiff plainly knew SN was the servicer because he entered into the Loan Workout Agreement with defendants and made payments based on their communications.

The demurrer to the third cause of action is therefore **sustained with leave to amend**.

Fourth Cause of Action for Cancellation of Instruments

The necessary elements for cancellation of instrument are: (1) a written instrument; (2) a reasonable apprehension that it may cause serious injury to someone; (3) as to whom it is void or voidable. (Civ. Code § 3412.) A plaintiff must also tender to state a claim for cancellation. (See, e.g., *Weger v. Rocha* (1934) 138 Cal. App. 109, 116 ["in the cancellation or rescission of contracts, it is incumbent upon the parties seeking rescission to restore everything of value that has been received."].)

Plaintiff fails to allege tender or any excuse from tendering. As discussed above, plaintiff admits he lacked the ability to tender the remaining reinstatement balance and does not allege that he can now tender the full secured debt or the reinstatement amount required under the Loan Workout Agreement. Without pleading tender or a valid excuse from tendering, plaintiff cannot state a claim for cancellation of the Notice of Default, Notice of Trustee's Sale, or Trustee's Deed Upon Sale.

The demurrer to the Fourth Cause of Action is therefore **sustained with leave to amend**.

Fifth Cause of Action for Declaratory Relief

Plaintiff seeks a declaration that the foreclosure was invalid, that the Notice of Default and Notice of Trustee's Sale are invalid, and that defendants lacked the right to foreclose. Those same issues are already placed at issue by the wrongful foreclosure, breach of contract, cancellation, and quiet title claims.

A claim for declaratory relief may not be used to assert an additional cause of action for the determination of issues identical to those raised in Plaintiff's other causes of action. (See *Hood v. Superior Court* (1995) 33 Cal.App.4th 319, 324.) The issues sought to be determined by the declaratory relief claim (the validity of the foreclosure and the instruments supporting it, and whether defendants had the right to foreclose) are already raised in plaintiff's substantive causes of action. There is nothing separate for the Court to declare.

The demurrer to the fifth cause of action for declaratory relief is **sustained without leave to amend** as duplicative of Plaintiff's other causes of action.

Sixth Cause of Action for Violation of Civil Code Section 2923.55

The sixth cause of action is for violation of Civil Code section 2923.55 which provides that before filing a notice of default, a mortgage servicer "shall contact the borrower in person or by telephone in order to assess the borrower's financial situation and explore options for the borrower to avoid foreclosure." (Civ. Code § 2923.55(b)(2).) In order to state a claim for violation of Civil Code section 2923.55, a plaintiff must establish "a material violation" of this provision. (*Cornejo v. Ocwen Loan Servicing* (E.D. Cal. 2015) 151 F.Supp.3d 1102, 1114.)

Plaintiff alleges that SN Servicing Corporation failed to contact him in person or by telephone prior to recording the Notice of Default or initiating the foreclosure process. (Compl. ¶ 55.) Plaintiff further alleges that SN failed to postpone or otherwise adjust the payment plan after plaintiff tendered funds pursuant to an agreement to cure the default. (Id.) Plaintiff contends that had SN exercised due diligence in contacting him at his residence, he would have become aware of the Trustee Sale and

been able to tender funds timely. (Id.) Plaintiff would have been able to explore foreclosure alternatives, repayment options, or reinstatement had defendants complied with section 2923.55. (Compl. ¶ 56.)

Defendants argue the sixth cause of action fails for two reasons. First, any pre-Loan Workout Agreement claim was released. The Loan Workout Agreement, dated September 5, 2025, contains a broad release in which plaintiff released defendants and related parties from all claims, known or unknown, existing before execution of the agreement, and expressly waived Civil Code section 1542. Plaintiff's section 2923.55 claim is, by its nature, based on alleged contact failures that occurred before the Notice of Default was recorded on June 27, 2025, more than two months before the Loan Workout Agreement. Any such claim therefore arose before September 5, 2025 and falls within the scope of the release.

Second, Defendants argue that Plaintiff fails to plead sufficient facts showing a material violation and resulting harm. The Court first notes that Plaintiff's allegation that Defendants should have contacted him so he would become aware of the Trustee Sale and tender funds timely mischaracterizes the purpose of section 2923.55, which requires contact to assess financial circumstances and explore alternatives to foreclosure, not to provide notice of the impending sale. Beyond this, Plaintiff's own allegations establish that loss-mitigation contact occurred. He entered into the Loan Workout Agreement on September 5, 2025, demonstrating that defendants assessed his financial circumstances and explored foreclosure alternatives with him. More importantly, plaintiff's own allegations attribute the foreclosure to his inability to complete the reinstatement payments, not to any failure by defendants to contact him or explore alternatives. Plaintiff has failed to plead a causal connection between his alleged damages and a material violation of section 2923.55. While a borrower may recover actual economic damages for a material violation of section 2923.55 after the Trustee's Deed has been recorded (Civ. Code §§ 2924.12(b), 2924.19(b)), such damages are only available where the violation materially caused the harm alleged. Plaintiff has not adequately pleaded this causal connection.

The demurrer to the sixth cause of action is **sustained with leave to amend** for Plaintiff to adequately plead a material violation of section 2923.55, a causal connection between that violation and resulting economic damages, and to plead some basis to avoid the Loan Workout Agreement's release provision as it applies to pre-September 5, 2025 claims.

Seventh Cause of Action for Fraudulent Inducement or Promissory Fraud

The seventh cause of action is labeled "fraudulent inducement/promissory fraud." The elements of promissory fraud or fraud in the inducement are (1) the defendant made a promise to the plaintiff, (2) at the time the promise was made, the defendant did not intend to perform the promise; (3) the defendant intended to cause the plaintiff to rely on the promise; (4) the plaintiff reasonably relied on the promise; and (5) the plaintiff was harmed as a result. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638-639.)] "To establish a claim of fraudulent inducement, one must show that the defendant did not intend to honor its contractual promises when they were made." (*Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1131.) In addition, fraud requires the pleading of facts showing "how, when, where, to whom, and by what means the representations were made." (*Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 73.) A fraud action against a corporation requires the plaintiff to plead the name(s) of the persons(s) who made the allegedly

fraudulent representations, his/her authority to speak, to whom he/she spoke, what he/she said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) It is also true that "[l]ess specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216.)

Plaintiff alleges that Defendants fraudulently induced him to remit \$100,000 under the Loan Workout Agreement by misrepresenting that foreclosure would be postponed. (Compl. ¶¶ 58, 60.) At the time these representations were made, defendants knew or should have known that foreclosure proceedings would continue or that they did not intend to fully honor the repayment agreement as represented. (Compl. ¶ 61.) Defendants made these representations with the intent to induce plaintiff to remit substantial funds. (Compl. ¶ 62.) Plaintiff reasonably relied on Defendants' representations and, in reliance thereon, wired \$100,000 and executed the repayment agreement. (Compl. ¶ 63.) Despite plaintiff's performance and substantial payment, Defendants proceeded with foreclosure activity, including recording the Notice of Trustee's Sale. (Compl. ¶ 64.) Plaintiff characterizes Defendants' conduct as promissory fraud on that they allegedly made promises without the intent to perform or with reckless disregard for whether they would perform. (Compl. ¶ 65.) As a result, Plaintiff suffered damages including loss of funds, threatened loss of the Property, attorney's fees, costs, and emotional distress. (Compl. ¶¶ 66-67.)

Defendants argue the claim fails to state facts sufficient to constitute a cause of action because Plaintiff does not plead fraud with the specificity required by California law, and any pre-Agreement fraud claim was released in the Loan Workout Agreement.

Plaintiff's opposition acknowledges that the complaint does not identify the specific individuals at SN or U.S. Bank who made the postponement representations, or the precise dates and method by which they were communicated, appears to concede that defendants' challenge on this ground is well taken. However, plaintiff argues that the specificity requirement is relaxed where the defendant must necessarily possess full information concerning the facts of the controversy. Plaintiff contends that the identity of the SN or U.S. Bank representative who negotiated the Loan Workout Agreement is known exclusively to defendants through their own personnel and servicing records. However, to the extent the Court finds the current allegations insufficient, plaintiff requests leave to amend to add the requisite specificity. Plaintiff's opposition does not address defendants' argument that any pre-September 5, 2025 fraud claims are barred by the release and Civil Code section 1542 waiver contained in the Loan Workout Agreement itself.

The demurrer to the seventh cause of action is **sustained with leave to amend**. Plaintiff has leave to amend to plead his fraud claim with specificity, and facts to support an inference that the promise was made without intent to perform, and to plead a basis to avoid the release provision in the Loan Workout Agreement.

Eighth Cause of Action for Quiet Title

Plaintiff seeks to quiet title to the Property against all claims of defendants and Does 1–20. (Compl. ¶ 69.) Plaintiff alleges his title is superior to that of defendants to the Property. (Compl. ¶ 70.)

An action for quiet title seeks "to establish title against adverse claims to real or personal property or any interest therein." (CCP, § 760.020, subd. (a).) In an action for quiet title, Plaintiff must plead (1) "[a] description of the property that is the subject of the action," specifically the location of tangible personal property and the legal description and street address or common designation of real property, (2) "[t]he title of the plaintiff as to which a determination under this chapter is sought and the basis of the title," (3) "[t]he adverse claims to the title of the plaintiff against which a determination is sought," (4) "[t]he date as of which the determination is sought," and (5) "[a] prayer for the determination of the title of the plaintiff against the adverse claims." (CCP § 761.020.)

Tender is generally required for quiet title claims. (*Lueras v. BAC Home Loans Servicing, LP* (2013) 221 Cal.App.4th 49, 86-87; *Sierra-Bay Federal Land Bank Association v. Superior Court* (1991) 227 Cal.App.3d 318, 337 [finding a debtor must make a tender or otherwise offer to pay his debt to quiet title].)

Defendants argue the quiet title claim fails for the following reasons. First, because legal title vested in U.S. Bank upon recordation of the Trustee's Deed Upon Sale on February 17, 2026. A properly conducted nonjudicial foreclosure sale is a final adjudication of borrower-lender rights, and the Trustee's Deed Upon Sale conveys title free and clear of the trustor's interest. (*Arnolds Management Corp. v. Eischen* (1984) 158 Cal.App.3d 575, 578-579; *Melendrez v. D & I Investment, Inc.* (2005) 127 Cal.App.4th 1238, 1249.) Plaintiff therefore cannot allege superior record title. Second, because a mortgagor cannot quiet title against the mortgagee without paying the debt secured. (*Shimpones v. Stickney* (1934) 219 Cal. 637, 649.) Third, the complaint does not satisfy Code of Civil Procedure section 761.020 because it does not adequately plead the basis of plaintiff's title, the specific adverse claims at issue, or the date as of which title is sought.

At a minimum, Plaintiff fails to adequately allege tender or otherwise offer to pay the debt. Instead, Plaintiff alleges he "has the ability to tender and is willing to tender an outstanding amount subject to equitable damages suffered by Plaintiff because of Defendants' misconduct." (Compl. ¶ 23.) To maintain this cause action, Plaintiff is required to allege an unconditional offer of performance of his obligations under the Note, with the ability and willingness to perform. (*Abdallah v. United Savings Bank* (1996) 43 Cal.App.4th 1101, 1109; see also *Karlsen v. American Savings & Loan Assn.* (1971) 15 Cal.App.3d 112, 117.)

The demurrer to the eighth cause of action is **sustained with leave to amend**.

Disposition

The demurrer of Defendants SN Servicing Corporation and U.S. Bank Trust National Association as Trustee of LB-Igloo Series VI Trust to the complaint of Plaintiff Abraham Mohamed Yaseen Homran is **sustained without leave to amend** as to the Fifth Cause of Action (Declaratory Relief), and **sustained with leave to amend** as to the First, Second, Third, Fourth, Sixth, Seventh, and Eighth Causes of Action.

Defendants shall prepare the order and file and serve notice of entry of order. Plaintiff has thirty days from notice of entry of order in which to amend the complaint. If Plaintiff fails to amend within to time permitted by this order, defendants may move to dismiss the complaint pursuant to Code of Civil Procedure section 581(f)(2).

21. 9:00 AM CASE NUMBER: C26-00948
CASE NAME: ABRAHIM YASEEN HOMRAN VS. SN SERVICING CORPORATION
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL AS TO ABRIHIM MOHAMED YASEEN HOMRAN**
FILED BY: YASEEN HOMRAN, ABRAHIM MOHAMED
TENTATIVE RULING:

The motion of Jason W. Estavillo and Estavillo Law Group to be relieved as counsel for Plaintiff Abraham Mohamed Yaseen Homran is **granted**. Counsel is ordered to: (1) file an Amended Order Granting Attorney's Motion to Be Relieved as Counsel-Civil (Judicial Council Form MC-053) with all updated future hearing dates; (2) serve the Order on Plaintiff; and (3) file proof of service with the Court. Counsel will be relieved upon filing the proof of service.

22. 9:00 AM CASE NUMBER: C26-01042
CASE NAME: RUTH ARCEGA CALDERON VS. FCA US LLC
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: FCA US LLC
TENTATIVE RULING:

Introduction

Before the Court is Defendant FCA US LLC's ("FCA" or "Defendant") Demurrer to Plaintiff Ruth Arcega and Gustavo Araoz's Complaint ("Complaint") which was filed on March 25, 2026. The Demurrer challenges the sixth cause of action for Fraudulent Concealment.

For the reasons explained below, Defendant FCA US LLC's **Demurrer to Plaintiffs' sixth cause of action for Fraudulent Concealment is overruled.**

Meet and Confer Requirement

Defendant satisfies its meet and confer requirements in detailing its efforts in reaching out and speaking to Plaintiff's counsel via telephone on April 14, 2026, but the parties were unable to resolve the outstanding issues. (Gahan Decl. ¶¶ 2.)

Factual Allegations

On March 25, 2026, Plaintiff initiated this action asserting five causes of action against FCA, four under the Song-Beverly Consumer Warranty Act ("Act") for breach of express and implied warranty, and another cause of action for fraudulent inducement – concealment.

The Complaint alleges that on February 13, 2023, Plaintiff entered into a warranty contract with Defendant FCA regarding a 2022 Jeep Grand Cherokee (i.e. "Subject Vehicle") (Compl. ¶ 7), and that "[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, transmission defects, electrical defects; among other defects and non-conformities." (Id., ¶ 12.) There are no allegations in the Complaint that Plaintiff contracted directly with FCA nor had any direct dealings with FCA when they purchased the vehicle.

The Complaint alleges that "Plaintiffs discovered Defendants' wrongful conduct alleged herein October 22, 2025, when they requested a buyback and/or restitution of the Subject Vehicle from

Defendant FCA, as the Vehicle continued to exhibit symptoms of defects following Defendant FCA's unsuccessful attempts to repair them. However, Defendant FCA failed to provide restitution pursuant to the Song-Beverly Consumer Warranty Act." (Id., ¶ 39.)

As to the fraudulent inducement – concealment claim, the Complaint alleges that "FCA knowingly and intentionally concealed material facts and breach its duty not to do so." (Id. at ¶ 69.) And, "FCA acquired its knowledge of the Transmission Defect and its potential consequences prior to Plaintiffs acquiring the Vehicle, through sources not available to consumers such as Plaintiffs, including but not limited to pre-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant FCA and its network of dealers, aggregate warranty data compiled from Defendant FCA's network of dealers, testing conducted by Defendant FCA in response to these complaints, as well as warranty repair and part replacements data received by Defendant FCA from Defendant FCA's network of dealers, amongst other sources of internal information." (Id. at ¶ 68(a).) According to the Complaint, "FCA has knowingly and intentionally concealed material facts and breached its duty not to do so." (Id. at ¶ 69.)

Legal Standard for Demurrer

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("Doe")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis

Sixth Cause of Action for Fraudulent Inducement

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 49.)

Omitted Facts

Defendant contends that none of the allegations states what the defect is, let alone the defect in the Subject Vehicle, and that the Complaint merely describes the list of malfunctions. (Demurrer at pp. 10-11.)

The First District Court of Appeal in *Dhital*, in response to Nissan's contention that Plaintiff did not provide specifics about Nissan's duty to disclose, reasoned that "plaintiffs alleged the CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function. The SAC also alleged Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to NHTSA and to Nissan and its dealers. It is

not clear what additional information Nissan believes should have been included.” (*Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 828, 843-44.)

Here, Plaintiffs allege entering into a warranty relationship with FCA on or about June 29, 2022 (Complaint, ¶ 7); Plaintiffs identified the material fact that FCA knew of inherent defects in the Subject Vehicle’s 8 -speed transmission prior to their acquisition of the Subject Vehicle that FCA withheld from Plaintiff (Id ¶ 68-69); Plaintiffs alleged that FCA had superior knowledge of the facts (Id ¶); the safety risks posed by the transmission defects (Id ¶ 18); the materiality of that information (Id ¶ 70); Plaintiffs’ reliance on the non-disclosure (Id ¶70); and damages (Id ¶ 72-73.)

Defendant additionally contends that the Complaint failed to meet “the requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

In cases claiming fraud through non-disclosure, it is not practical to allege facts showing how, when and by what means something did not happen. (*Alfaro v. Community Housing Improvement System Planning Assn.* (2009) 171 Cal.App.4th 1356, 1384.) Instead, the focus shifts from ‘who said what’ to whether there was a duty to disclose, and the elements of fraud. (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1130-31.) Thus, the corporate requirement for specificity does not apply to Plaintiffs’ fraudulent concealment cause of action.

Duty to Disclose

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship . . .; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40.) “Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as . . . parties entering into any kind of contractual agreement.” (Id.)

Defendant argues that the Complaint offers no allegations that FCA and the Plaintiff were in a buyer-seller relationship or any other contractual relationship with respect to the purchase of the vehicle. (Demurrer at p. 13: 11-12.)

Here, the complaint explicitly alleges that Plaintiffs entered into a warranty contract with FCA regarding the vehicle. (Complaint, ¶ 7.) Plaintiffs and FCA are “parties entering into [a] contractual agreement.” This is between FCA and Plaintiffs, not FCA and the public at large. (See *Rattagan*, supra, at fn. 13 [relationship between manufacturer/warrantor and buyer].) Thus, FCA had a pre-contract duty to disclose material facts, which Plaintiff alleged was exclusive knowledge of the Defendant. (Complaint, ¶ 68.)

Transactional Relationship

“Under California law, a vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold.” (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 851

[emphasis in original].) Truly it would be anomalous if a manufacturer were able to avoid any responsibility for its lack of disclosure by saying its dealership sold the car. Defendant FCA certainly expects its dealerships to sell its vehicles to purchasers. (See *Khan v. Shiley Inc.* (1990) 217 Cal.App.3d 848, 850-851.)

Bader is analogous. (*Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, 1132.) J&J makes and sells baby powder to consumers through drug stores, grocery stores, and other retailers. Stores like CVS and Vons are certainly not agents of J&J. But these intermediaries do not disrupt the “transactional relationship” between a manufacturer and a consumer. As a result, J&J could be held liable for concealing material information about its baby powder from end users. Like *Bader*, FCA forms a transactional relationship with buyers, such as Plaintiffs, through retail sales of its vehicles to consumers, and FCA profits from those sales. Thus, strict privity in the sale is not required. Here, the complaint explicitly alleges that Plaintiffs entered into a warranty contract with FCA regarding the vehicle. (Complaint, ¶ 7.) This is enough to satisfy the pleading requirement.

Defendant’s use of the *Ford Motor Warranty Cases* is unpersuasive because third-party enforcement of an arbitration agreement and transactional relationship requisite for a fraudulent concealment cause of action are two distinct issues with two very different standards.

Exclusive Knowledge

Dhital acknowledged that the allegation that “Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to the National Highway Traffic Safety Administration and to Nissan and its dealers” was enough for the pleading stage and that the Court, declined to hold that plaintiffs were required to include more detailed allegations about the alleged defects in the transmissions.

Active Concealment

The Court refrains from ruling on this issue since the Court already found Plaintiffs adequately pled exclusive knowledge.

Justifiable and Actual Reliance

Plaintiffs’ burden is to include specific allegations establishing that “had the omitted information been disclosed [he] would have been aware of it and behaved differently.” (*Mirkin v. Wasserman* (1993) 5 Cal.4th 1082, 1093.) Plaintiffs allege that had Plaintiffs known that the Subject Vehicle and its transmission were defective at the time of sale, they would not have purchased the Subject Vehicle. (Complaint, ¶¶ 70-71.) Defendant’s position is that Plaintiffs’ allegations regarding the reliance element are general and conclusory.

Defendant exclusively relies on *Seely v. White Motor Co.* (1965) 63 Cal. 2d 9 for the proposition that if reliance of any kind can be reasonably inferred from Plaintiff’s factual allegations, the inference is that Plaintiffs relied not upon omissions but instead upon the express warranty to purchase the Subject Vehicle. It is important to note that *Seely* was dealing with express warranty and strict liability claims and did not include a fraud claim. Thus, the argument made in accordance with *Seely* is misplaced and not persuasive.

Economic Loss Rule

The California Supreme Court has repeatedly allowed tort damages where a contract was induced by

fraud. “[F]raudulent inducement of contract—as the very phrase suggests—is not a context where the ‘traditional separation of tort and contract law’ [citations] obtains. To the contrary, this area of the law traditionally has involved both contract and tort.” (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) “[W]e permit the plaintiff to recover exemplary damages in cases in which the breached contract was induced through promissory fraud.” (*Freeman & Mills, Inc. v. Belcher Oil Co.* (1995) 11 Cal.4th 85, 108.) The economic loss rule does not apply to fraudulent inducement because the duty of fair dealing is independent of the contract, and because the tortious conduct occurs prior to contract formation. (See *Erllich v. Menezes* (1999) 21 Cal.4th 543, 551-52, “[T]he duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.”) The recent decision in *Rattagan* makes clear that the economic loss rule does not apply to claims for fraudulent inducement, regardless of whether affirmative misrepresentation or concealment is involved. (See *Rattagan v. Uber Technologies, Inc.* (2024) 15 Cal.5th 1.)

Because *Rattagan* was reframed as specifically about fraud-in-the-performance, and Plaintiffs have alleged fraud-in-the-inducement, the fraud-in-the-performance test in *Rattagan* does not apply. (*Rattagan*, p. 26.)

Dhital is the appropriate precedent that is on point. *Dhital* held that the economic loss rule does not bar claims for fraudulent inducement, including, as alleged here, through fraudulent concealment. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843; and see *Rattagan*, supra, at p. 31.)

Defendant argues that Plaintiffs’ claims are barred by the economic loss rule. *Dhital* refuted this argument, and *Rattagan* confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (*Rattagan*, supra, p. 38; and see *Dhital*, supra, 84 Cal.App.5th at 839.) (See *Moore v. American Honda Motor Co., Inc.* (N.D.Cal. 2025) 2025 WL 948114, at *7 [concluding *Rattagan* only applies to concealment during the performance of a contract, while *Dhital* applies to inducement-based claims].)

In this case, the duty that Defendant allegedly breached is its duty in tort of fair dealing, which bars pre-sale suppression of information. This duty has long existed in common law, and was codified in Civil Code section 1710, subdivision (3), enacted in 1872. (See *Li v. Yellow Cab Co.* (1975) 13 Cal.3d 804, 814-16, [background on the 1872 Civil Code].) Holding that the warranty contract, indirectly through the economic loss rule, excuses FCA from responsibility for its own fraud runs counter to California law. (Civ. Code, § 1668.) Thus, the economic loss rule does not apply here.

Conclusion

For the reasons analyzed above, Defendant FCA US LLC’s **Demurrer to Plaintiffs’ sixth cause of action for Fraudulent Concealment is overruled.**

23. 9:00 AM CASE NUMBER: C26-02061

CASE NAME: BEATRIZ ARREOLA VS. DOES 1-20

HEARING IN RE: ORDER TO SHOW CAUSE RE PRELIMINARY INJUNCTION

FILED BY: ARREOLA, BEATRIZ A.

TENTATIVE RULING:

Based on the Court’s review of the docket, it appears that all defendants were been dismissed on August 21, 2026 – Sokoloff Remtulla LLP without prejudice and RoundPoint Mortgage Service LLC and TH MSR Holdings LLC with prejudice. The Court believes the request for Preliminary Injunction is **moot** and the entire matter should be dismissed.

24. 9:00 AM CASE NUMBER: N26-0057

CASE NAME: PETITION OF:TOTAL LENDER SOLUTIONS, INC.

***HEARING ON MOTION IN RE: RECONSIDERATION OF ORDER DATED APRIL 30, 2026**

FILED BY: GANDY, FRANCES

TENTATIVE RULING:

The Court misunderstood the prior request, given the arguments regarding fees. Given counsel's clarification, the Court will grant the request for the distribution of all remaining surplus funds, or \$227,271.17 that was previously deposited with the Clerk, to Frances Gandy.

25. 9:00 AM CASE NUMBER: N26-1069

CASE NAME: PETITION OF:VALLEY OAK CONDOMINIUMS HOMEOWNERS ASSOCIATION

HEARING IN RE: PETITION OF AMENDED & RESTATED DEC.

FILED BY:

TENTATIVE RULING:

Before the Court is a Petition pursuant to Civil Code section 4275 to approve the Amended and Restated Declaration of Covenants, Conditions and Restrictions of Valley Oak Condominiums Homeowners Association by the affirmative votes received, which are less than required. Good cause shown, and no objections having been received, the Court **grants** the Petition.